

Petty Cash

in dynamics 365 finance and operations

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Brief about Petty Cash

Petty Cash refers to a small amount of Cash a business or organization keeps on hand to cover minor expenses. It's typically used for small, everyday transactions were using a

cheque (check) or credit card would be impractical or inefficient, such as buying office supplies, reimbursing employees for small expenses, or paying for postage.

Petty cash funds are usually managed by a designated individual, often the office manager or accountant. They are responsible for replenishing the petty Cash when it runs low and keeping accurate records of all transactions. Petty cash transactions are recorded in a petty cash log detailing each expenditure's date, amount, purpose, and recipient.

Maintaining a petty cash fund helps streamline the reimbursement process for small expenses and reduces the need for writing numerous small checks or using electronic payment methods for insignificant purchases. It also provides flexibility and convenience for handling minor expenses without having to go through the formalities of the regular accounting system.

The following functions are available in this feature in Dynamics 365 Finance:

- Cash payment limitation control
- Cash posting validation
- Cash transaction status and special approval workflow
- Cash-related inquiry, reports, and periodic tasks
- Foreign exchange revaluation for cash account

1. Setting up Petty Cash in Dynamics 365 Finance...

Petty Cash functionality is generally available from version **10.0.39**, and users first need to enable the functionality from feature management.

Finance and Operations | System administration > Workspaces > Feature management

Feature management
Do not enable new features automatically

New: 3 | Not enabled: 369 | Scheduled: 0 | [Enable all](#) | [Check for updates](#)

Filter:

Feature name	Status	Enable date	Feature added	Feature state	Module
Petty cash			4/20/2024		Cash and bank management

Petty cash
Feature added: 4/20/2024
Cash and bank management
[Learn more](#)

Description
You can use the petty cash functionality to automate operations for receipts and expenditures of cash, the creation of primary documents, and the printing of related reports.

Comments

[Schedule](#) [Enable now](#)

Feature management
Do not enable new features automatically

New: 3

Filter:

Feature name	Status	Enable date	Feature added	Feature state	Module
Petty cash	✓	5/7/2024	4/20/2024		Cash and bank management

Once the feature is enabled, a new option related to Cash will be visible on the Cash and Bank Management parameters page. There, you will see that only one FastTab, "General," is available, which is where we need to enable the Petty Cash Functionality for the selected Legal Entity.

Standard view

Cash and bank management parameters

General

Cash

Bank reconciliation

Postdated checks

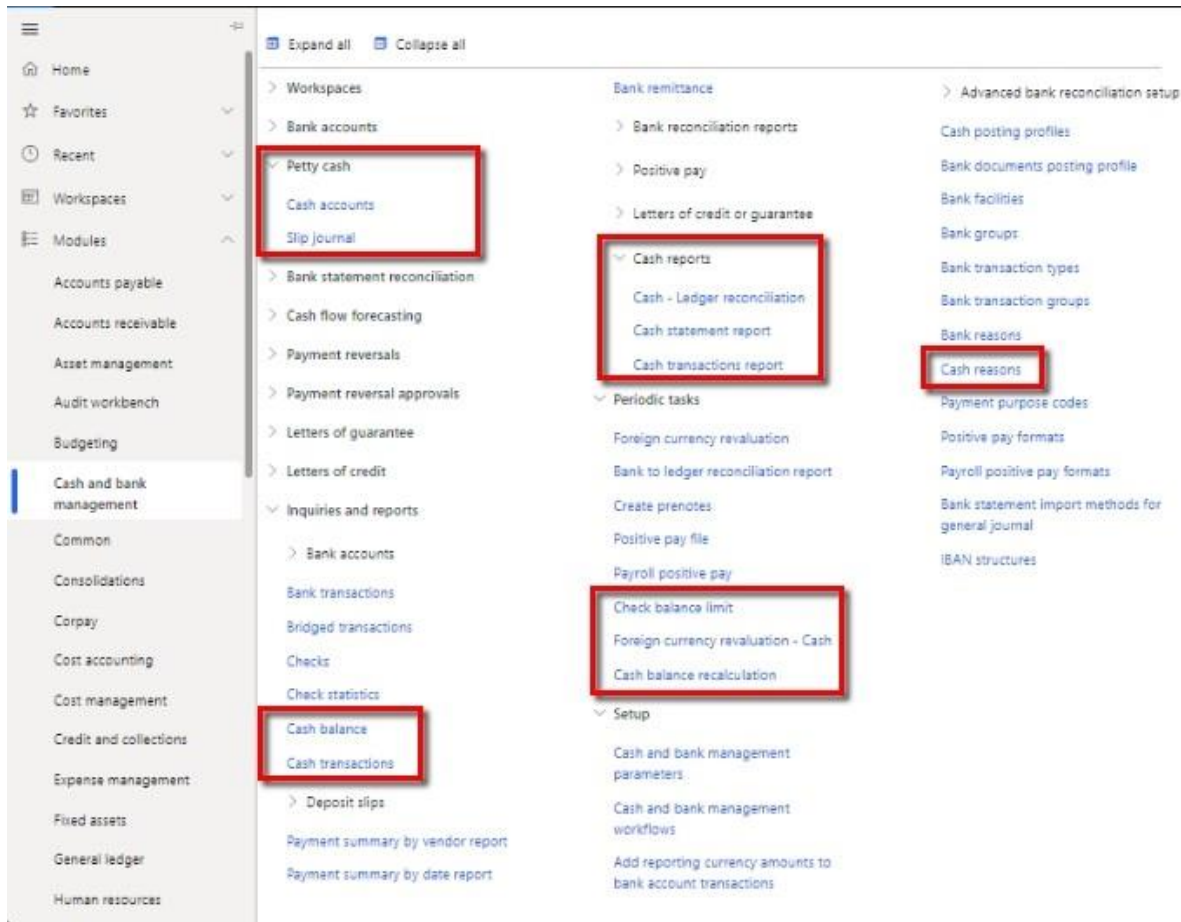
Number sequences

Set up information for cash accounts

General

Enable petty cash ☒ No

Once enabled, more FastTabs will appear in the parameters form with all the parameters related to the Cash Functionality. Also, a few new options are now available when you check the Cash and Bank Management module.



Moving on with configuration...

Cash accounts

Petty Cash is another type of sub-ledger in the System, just like a Bank. So, the Cash Account setup allows us to have multiple (Petty) Cash Accounts.

Generally, Petty Cash is defined differently by offices or departments, so we can define it here under Cash Accounts. In my example, I created one for the 'Head Office' and another one for 'Branch 1'.

Finance and Operations | Cash and bank management > Petty cash > Cash accounts

← + New Delete Cash account Options

Maintain Balance Transactions Balance limit
 Edit Cash balance Cash transactions Balance limit
 Edit in grid Check balance limit

Cash accounts

Standard view ▾

Filter

Cash	Name	Currency	More currencies	Number sequence group	Negative cash
001	Head Office	INR	✓	HO_PC	
002	Branch 1	USD	✓	B1_PC	

Once we drill down into one of the cash accounts, we get the following options:

Finance and Operations | Cash and bank management > Petty cash > Cash accounts

← Save + New Delete Cash account Options

Balance Transactions Balance limit
 Cash balance Cash transactions Balance limit
 Check balance limit

7

Cash accounts | Standard view ▾

New Record

General

Cash 1 Name 2 Number sequence group 3
 001 Head Office HO_PC ▾

Validation

Currency 4 More currencies Negative cash 6
 INR ▾ ☒ Yes ☐ No

- **Cash** - Enter the Code that would be used to call out the petty cash account
- **Name** - This is the Description Field for the code.

- **Number Sequence Group**—If the requirement is to have different document numbers for each of the different Petty cash accounts, a number sequence group code can be created and mapped here.
- **Currency** - Select the default currency code for petty cash transactions.
- **More Currencies**—Generally, companies have only one currency for their petty Cash, but Microsoft has provided multiple currencies for petty cash transactions. Foreign exchange revaluation also applies in this case.
- **Negative Cash** - Negative cash bullion is provided for cases where companies allow their petty Cash to have negative balances. It's not a usual scenario, but we have a provision here for it.

There are a few more options available on the Top ribbon (Ref point 7 in the above image)

- **Balance Limit**

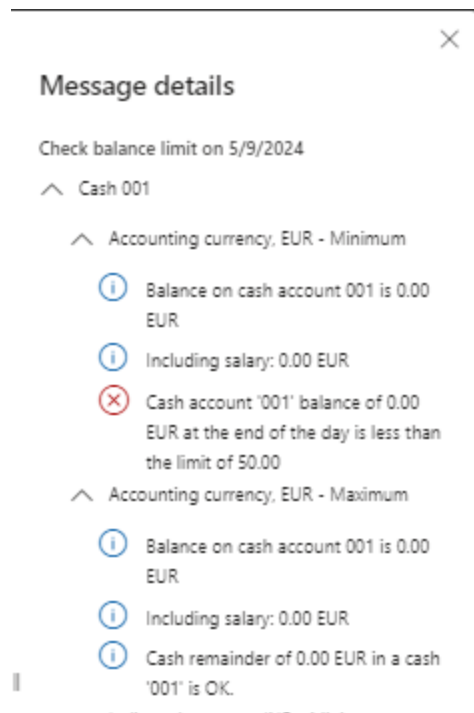
Balance limit is a setup where we can set the balance control for the cash accounts, i.e., the Minimum and Maximum balances.

Finance and Operations					
Cash and bank management > Petty cash > Cash accounts					
< Save + New Delete Options					
Balance limit 001 : Head Office					
Standard view					
Filter					
	Currency type	Currency	Balance limit type	Check balance limit	Balance limit
	Accounting currency	EUR	Maximum	Warning	2,500.00
	Accounting currency	EUR	Minimum	Error	50.00
	Indicated currency	INR	Maximum	Warning	25,000.00
	Indicated currency	INR	Minimum	Warning	500.00

We can set limits for accounting currency as well as Indicated currency with 3 different options to indicate the limit (warning, error, none)

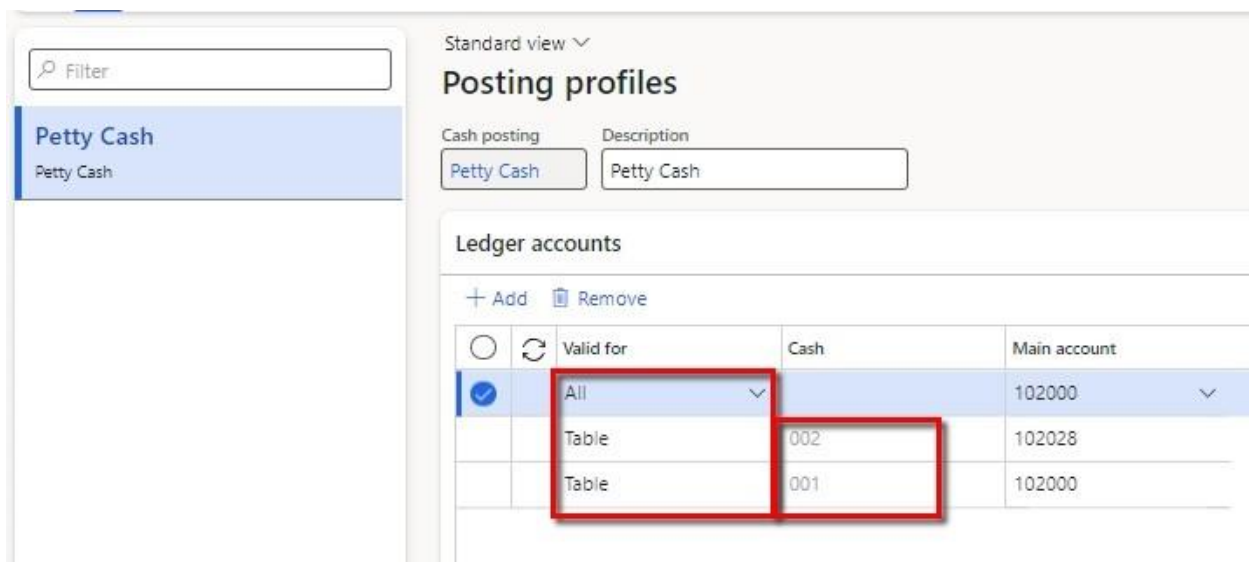
- **Check Balance Limit**

This option checks if the limit we set above is working and if the balances are within the limit. It is a pop-up report that gives details about the cash balances.



Cash posting profiles

Since Cash Accounts are a type of sub-ledger, the Posting profile defines postings to the General Ledger. A minor change here is that we can have only one Posting profile for all the cash accounts with different main accounts, unlike the customer or vendor posting profiles.

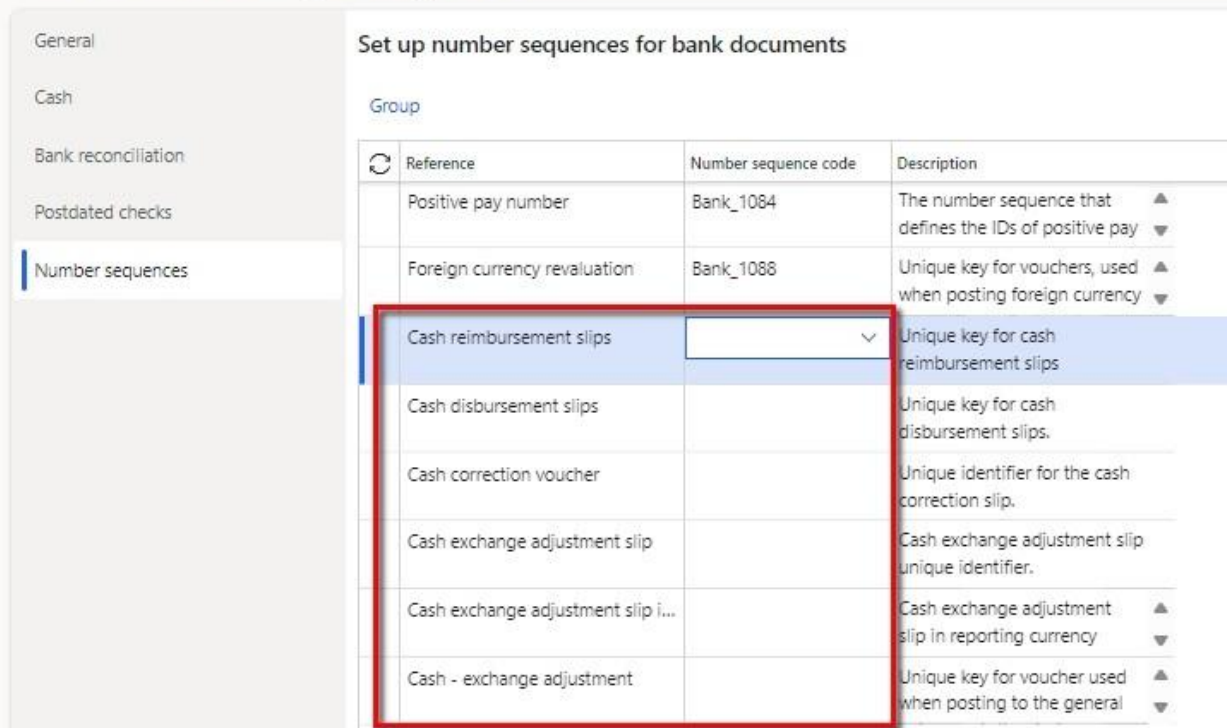


Number sequences for cash documents

Unlike any other module, we have a different set of Number sequences that need to be configured.

When we enable Petty Cash functionality, six new number sequences are added to the Cash and Bank Management Module. Needless to say, this number sequence must be filled out. On the Number sequence tab, specify the number sequence codes for the **Cash reimbursement slips**, **Cash disbursement slips**, **Cash correction voucher**, and **Exchange adjustment** references.

Cash and bank management parameters



Reference	Number sequence code	Description
Positive pay number	Bank_1084	The number sequence that defines the IDs of positive pay
Foreign currency revaluation	Bank_1088	Unique key for vouchers, used when posting foreign currency
Cash reimbursement slips		Unique key for cash reimbursement slips
Cash disbursement slips		Unique key for cash disbursement slips.
Cash correction voucher		Unique identifier for the cash correction slip.
Cash exchange adjustment slip		Cash exchange adjustment slip unique identifier.
Cash exchange adjustment slip i...		Cash exchange adjustment slip in reporting currency
Cash - exchange adjustment		Unique key for voucher used when posting to the general

Number Sequence Group

As discussed above, the number sequence group is used to have separate and unique number sequences for different Cash accounts.

Once defined it can be mapped to each Cash Accounts.

Number sequence groups | New Record

Standard view ▾

Filter

Overview

☐	☐	Group	Description
		B1_PC	Branch 1 Petty Cash
☒		HO_PC	Head Office Petty Cash

Reference

Chronological numbering setup

☐	☐	Area	Reference	Number sequence code
☐	☒	Petty cash	Cash reimbursement slips	HO-PC-R ▾
		Petty cash	Cash disbursement slips	HO-PC-D
		Petty cash	Cash correction voucher	
		Petty cash	Cash exchange adjustment slip	
		Petty cash	Cash exchange adjustment slip i...	
		Petty cash	Report number	

Set up default values for Cash and bank management parameters

Once the basic setup is done, it's time to set it up on the parameters page.

Set up information for cash accounts

Default values

Cash 1 Cash posting 2

Cash order number

Check for voucher used 3

Operations amount limit

Check operations limit 4 Validation method 5 Operations limit 6

Validation

Posting on earlier date 7 ☐ No

Dimensions

Purpose code 8 Analysis code 9 Department code 10

Approval

Use confirm status 11 ☐ No

Cash and bank management

The parameter's page in case of petty cash accounting is used to default values.

1. **Cash** - Fill this out to default to a cash account while creating an entry. It can be left blank if you want the user to select the Cash account.
2. **Cash Posting** - Enter the default cash posting profile that's used if no other posting profile is specified.
3. **Check for voucher used** - This is used to ensure that the number sequence is not repeated. There are 4 different options to choose from - **Reject duplicate**, **Reject copies within fiscal year**, **Accept duplicates**, and **Warn in case of duplicates**.
4. **Check operations limit**—This is used to select what happens when the maximum amount for cash operations exceeds.
5. **Validation Method** - This is used to check how the maximum limit is to be validated; it is to be validated per transaction or as per the agreement/contract.

6. **Operation limit** - Enter the maximum amount that's allowed for operations with counteragents in Cash.
7. **Posting on earlier date** - Select this checkbox to allow cash transactions to be posted before the last date of the cash transaction.
8. **Dimensions (8-10)—The Department, Analytical, and Purpose code fields** are the set of financial dimensions that are used on the printing page for cash documents.
9. **User Confirmation Status (11)**—Select this checkbox to use an additional status, Confirmed, during the approval process for cash documents. Ironically, when this status is kept as No, only the 'Approve' option is available to the approver; the Reject option is available only when this checkbox is enabled.

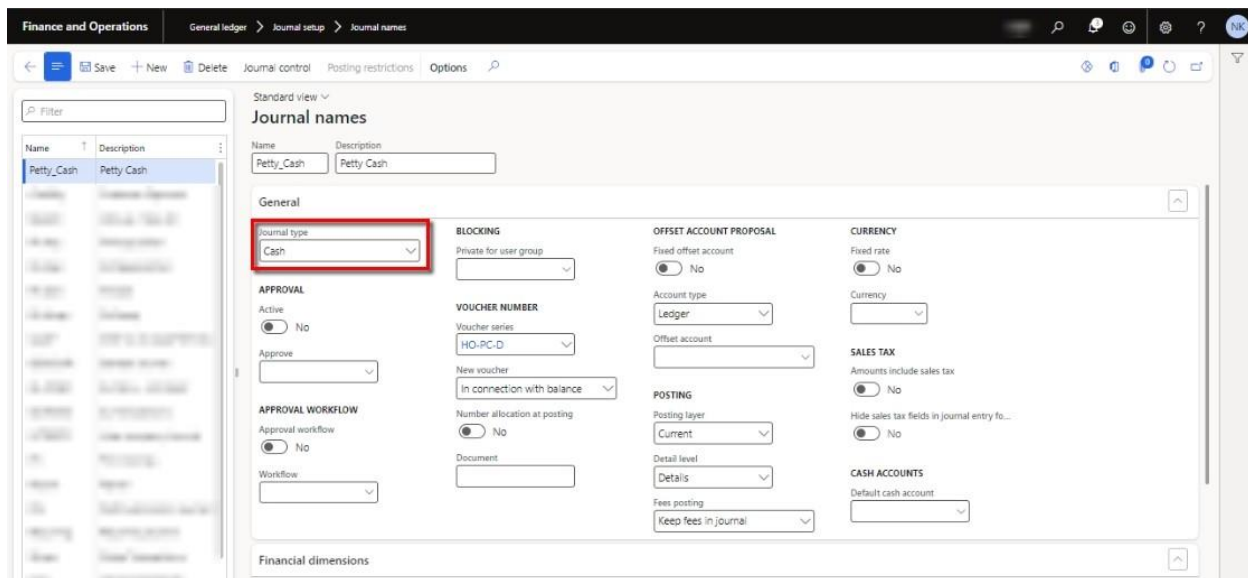
Note - I didn't see points 4, 5, 6, and 8 working while I tested. Might be these options are still not made operational for Global use and is only used in Eastern Europe and Russia

Journal setup

We finally reached the final setup. With the addition of Petty Cash functionality, we have 2 new additions to understand and use.

1. New addition to the "**Journal Type**" - Cash
2. New addition to the "**Account Type**" - Petty Cash

Go to **General Ledger > Journal setup > Journal names** and create a record. In the Journal Type field, we see Cash as a new option created for Petty cash transactions.



The screenshot shows the 'Journal names' configuration page. On the left, a list of journals is visible, with 'Petty_Cash' selected. The main area shows the configuration for 'Petty_Cash'. The 'General' tab is active, and the 'Journal type' dropdown is set to 'Cash' (highlighted with a red box). Other settings include 'Blocking' (Private for user group), 'Offset account proposal' (Fixed offset account: No, Account type: Ledger), 'Currency' (Fixed rate: No, Currency:), 'Approval' (Active: No), 'Voucher number' (Voucher series: HO-PC-D, New voucher: In connection with balance), 'Approval workflow' (Approval workflow: No, Workflow:), 'Posting' (Posting layer: Current, Detail level: Details, Fees posting: Keep fees in journal), 'Sales tax' (Amounts include sales tax: No, Hide sales tax fields in journal entry fo...: No), and 'Cash accounts' (Default cash account:).

General Ledger

Note: Only one Journal will be used for Reimbursement, disbursement and Corrections. System will automatically understand which transaction is a reimbursement or a disbursement and accordingly apply a number sequence too on it.

Let's Process our 1st Petty Cash transaction...

To process any petty cash transaction (Reimbursement, disbursement or Corrections), go to Slip Transaction -

Cash and bank management > Petty cash > Slip Journal

When you click on Line on the new journal selected, some of the default values will be available; the Account Type will be petty Cash by default, and there will be no option to change it.

Finance and Operations | Cash and bank management > Petty cash > Slip journal

Journal voucher | PSBV-000329 : Petty_Cash

Standard view ▾

Overview | General | Cash order | Payment | Payment fee | History

+ New | Delete | Financial dimensions ▾

○	↺	Date	Account type	Account	Description	Debit	Credit	Offset account type	Offset account
✓		5/7/2024	Petty cash	001	Petty Cash Reimb...	10,000.00		Bank	CITI0997

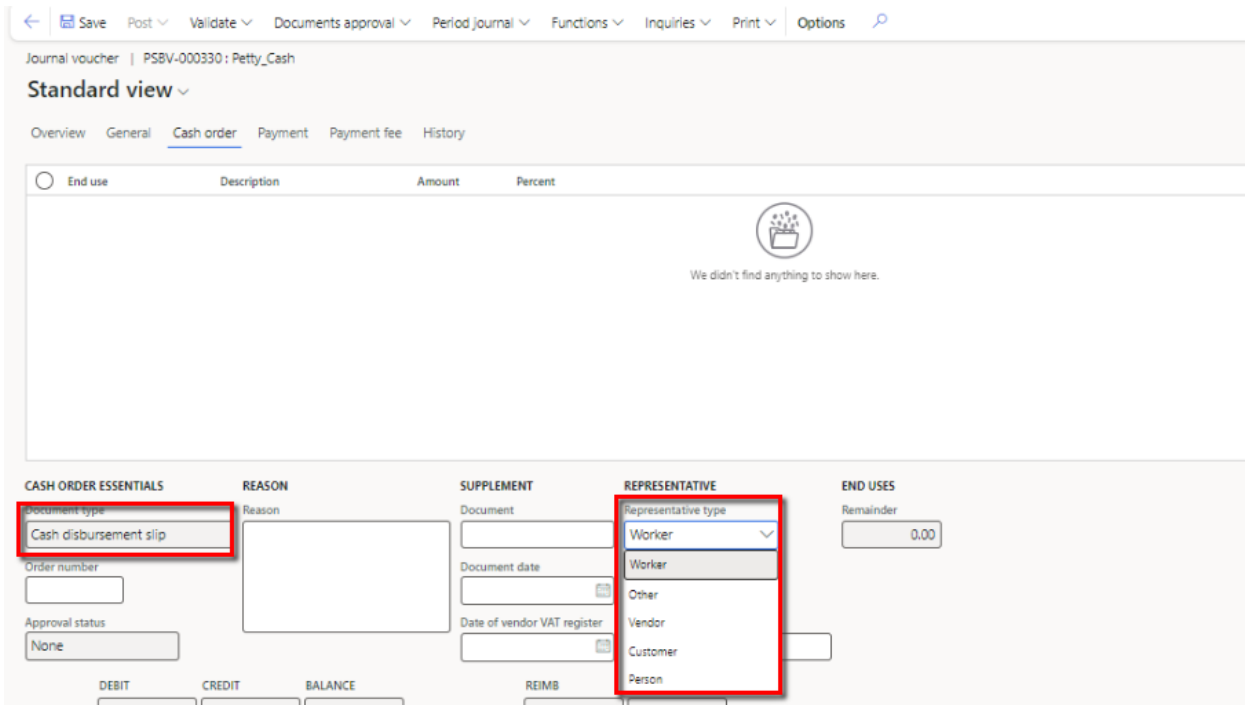
Currency: INR | Voucher: D-PC-000001 | Order number: | Document type: Cash reimbursement slip | Approval status: None | Account name: Head Office | Offset account name: CITI BANK - 20323309...

Document Type - Since we just have only one Journal for all 3 Document types - Reimbursement, disbursement and Corrections System understands it with the following logic:

- Debit Amount - Reimbursement (Increase Petty Cash Account)
- Credit Amount - Disbursement (Decrease Petty Cash Account)
- Negative amount in Debit or Credit - Correction (Correction in Petty Cash Account)

Order Number—This can be considered a document number or Petty cash voucher number, and it is different from the standard voucher number available. It can be used for audit purposes. The number is generally updated once the status of the entry is confirmed or above just to avoid duplication or wastage of the document number.

Approval Status—There can be 2 or 3 different approval statuses. If Confirmation is not activated, it will be None and Approved; otherwise, it will be None, Confirmed, and Approved. The "Post" option will be enabled only once when the status is changed to Approved in the second scenario.



Journal voucher | PSBV-000330 : Petty_Cash

Standard view

Overview General **Cash order** Payment Payment fee History

End use Description Amount Percent

We didn't find anything to show here.

CASH ORDER ESSENTIALS

Document type: Cash disbursement slip

Order number:

Approval status: None

REASON

Reason:

SUPPLEMENT

Document:

Document date:

Date of vendor VAT register:

REPRESENTATIVE

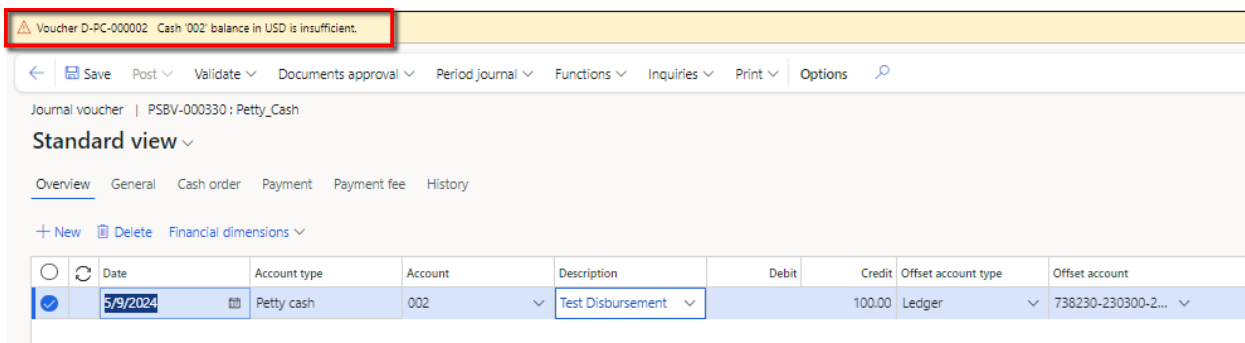
Representative type: Worker

END USES

Remainder: 0.00

Representative - The System gives the option to record who is the recipient of the Cash in all the 3 cases. Under the **Cash Order Tab**, you can select the Representative type where the worker is the default value selected and an option to select the worker below.

Note - Worker option doesn't work at this stage as it is directly linked to localisation table for Eastern Europe and Russia, so for other region we need to use options like Vendor or Person instead.



⚠ Voucher D-PC-000002 Cash '002' balance in USD is insufficient.

Journal voucher | PSBV-000330 : Petty_Cash

Standard view

Overview General **Cash order** Payment Payment fee History

+ New Delete Financial dimensions

Date	Account type	Account	Description	Debit	Credit	Offset account type	Offset account
5/9/2024	Petty cash	002	Test Disbursement	100.00	100.00	Ledger	738230-230300-2...

The System will throw an error when the **maximum or minimum limit is reached or when the balance becomes negative**. Depending on the setup, it can be just a warning or an error.

Message details

Voucher D-PC-000005

Check balance limit on 5/9/2024

Cash 001

Accounting currency, EUR - Maximum

 Cash '001' balance of 5,749.77 EUR at the end of the day exceeds the limit of 2,500.00

Indicated currency, INR - Maximum

 Cash '001' balance of 509,920.00 INR at the end of the day exceeds the limit of 25,000.00

Finance and Operations

Cash and bank management > Petty cash > Slip journal

Save Post Validate Documents approval Period journal Functions Inquiries Print Options

Journal voucher | PSBV-000331 : Petty_Cash

Standard view

Overview General Cash order Payment Payment fee History

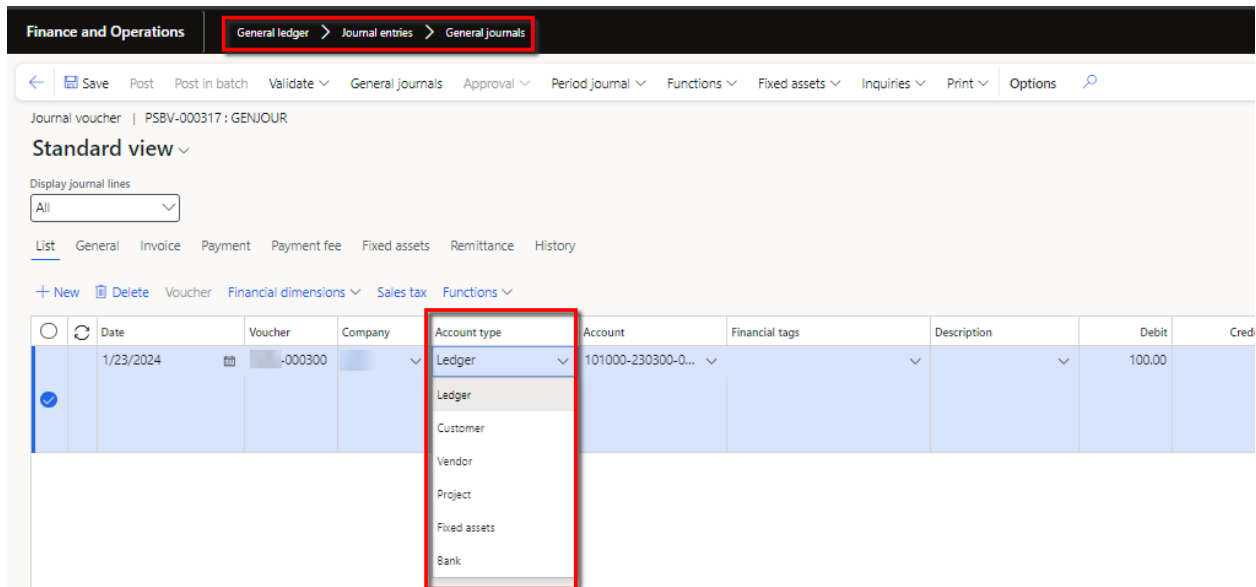
+ New Delete Financial dimensions

Date	Account type	Account	Description	Debit	Credit	Offset account type	Offset account
5/9/2024	Petty cash	001	Testing Corrections		-20.00	Ledger	718190-230300-2500...

Currency: INR Voucher: D-PC-000004 Order number: 000001 Document type: Correction Approval status: Approved Account name: Head Office Offset account name: Temporary Help

Offset Posting Profile—We have a field for the offset posting profile; this would be used if we selected a Vendor or customer in the offset account.

Important Note - As per Microsoft's documentation, all of the above activities can also be done via General Journal, but after testing it, I found that the Petty Cash Account type is not available on standard General Journal Lines.



The screenshot shows the 'Finance and Operations' interface with the 'General ledger > Journal entries > General journals' path highlighted. The 'Standard view' is selected, and the 'Display journal lines' dropdown is set to 'All'. The 'List' tab is active, showing a table with columns: Date, Voucher, Company, Account type, Account, Financial tags, Description, Debit, and Credit. A dropdown menu for 'Account type' is open, showing options: Ledger, Customer, Vendor, Project, Fixed assets, and Bank. The 'Ledger' option is highlighted.

Date	Voucher	Company	Account type	Account	Financial tags	Description	Debit	Credit
1/23/2024	-000300		Ledger	101000-230300-0...			100.00	

Period Tasks

Microsoft has added 3 options under period tasks pertaining to Petty Cash:

- **Check balance limit** - Used to check the balance for the selected cash account on the specified date and show the result in an information message.
- **Cash balance recalculation** - Used to confirm that the ledger balances for cash accounts fit the cash balance.
- **Foreign currency revaluation - Cash** - Used to ensure that you have an adequate balance in the default currency on the reporting date when the operations are entered in foreign currencies.

Inquiries and reports

Microsoft has added a few reports, too, for users to utilise it.

The **Cash Transaction** report is the most useful of the four as it provides end-to-end details of every transaction, including rejected transactions.

Finance and Operations									
Cash and bank management > Petty cash > Cash accounts									
← Edit + New Delete Vouchers Original document Options 🔍									
Cash transaction 001 : Head Office									
Standard view ▾									
Overview General Ledger Document Financial dimensions									
☐ Cash	↑ Date	Voucher	Approval status	Document type	Order number	Currency	Amount in tra...	Amount	
☒ 001	5/7/2024	D-PC-000001	Approved	Cash reimbursement slip	R-PC-000001	INR	10,000.00	112.76	
001	5/9/2024	D-PC-000005	Rejected	Cash reimbursement slip	R-PC-000003	INR	5,000.00	56.38	
001	5/9/2024	D-PC-000002	Approved	Cash disbursement slip	D-PC-000003	INR	-100.00	-1.13	
001	5/9/2024	D-PC-000004	Approved	Correction	PSBV-000001	INR	20.00	0.23	

Other reports available are :

- Cash balance
- Cash - Ledger reconciliation
- Cash statement report
- Cash transaction report

End of document